KIDCITY LLC

The project to establish the largest hatchery and grow-out complex for raising rainbow trout fry in the Leningrad Region.

2024

The **KIDCITY** project includes two ventures:

- Kidcity Ltd TIN 7813557792 - specialising in the rearing of rainbow trout fry.
- LLC "UNR-90" INN 7814821626 - construction organisation, general contractor of the project.

Project prerequisites

1. Government support:

The state actively supports the implementation of such projects and provides the following support measures:

- Subsidies for construction and equipment purchase account for up to **40 per cent** of capital costs. [1]
- Subsidies for fodder purchase up to 15%[2]
- Preferential VAT rate of 10% [3]

2. Growth of aquaculture in the world and Russia:

- Commercial aquaculture is the most economical way to produce protein in the world.
- Since 1980, the amount of fish farmed has equalled the amount of fish caught from natural water bodies, and by 2022, more than doubled.
- Domestic production received a significant boost after the introduction of counter-sanctions in 2014. Currently, Russia produces more than **500 thousand tonnes of** various fish species per year, with plans to grow to **700 thousand tonnes** by **2030**.

3. Market Needs:

- The industry is experiencing a chronic shortage of fish planting material (FPM). For 2023, the figure was more than 20 million pieces per year.
- The majority of rearing in the region is carried out by cage farms in open water bodies, where the business model involves purchasing fry from third-party suppliers.
- A large number of low-quality RPM due to the desire of unscrupulous suppliers to save money when purchasing caviar and feed. This may lead to contamination of the whole farm of the buyer.

This project will meet part of the market demand with the prospect of further growth and the opportunity to expand production.

Current status of the project

The project is 45 per cent complete.

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[1] Resolution of the Government of the Russian Federation No. 1413 of 24 November 2018

[2] Resolution of the Government of the Leningrad Region of 04.02.2014 N 15 (ed. of 28.02.2024)

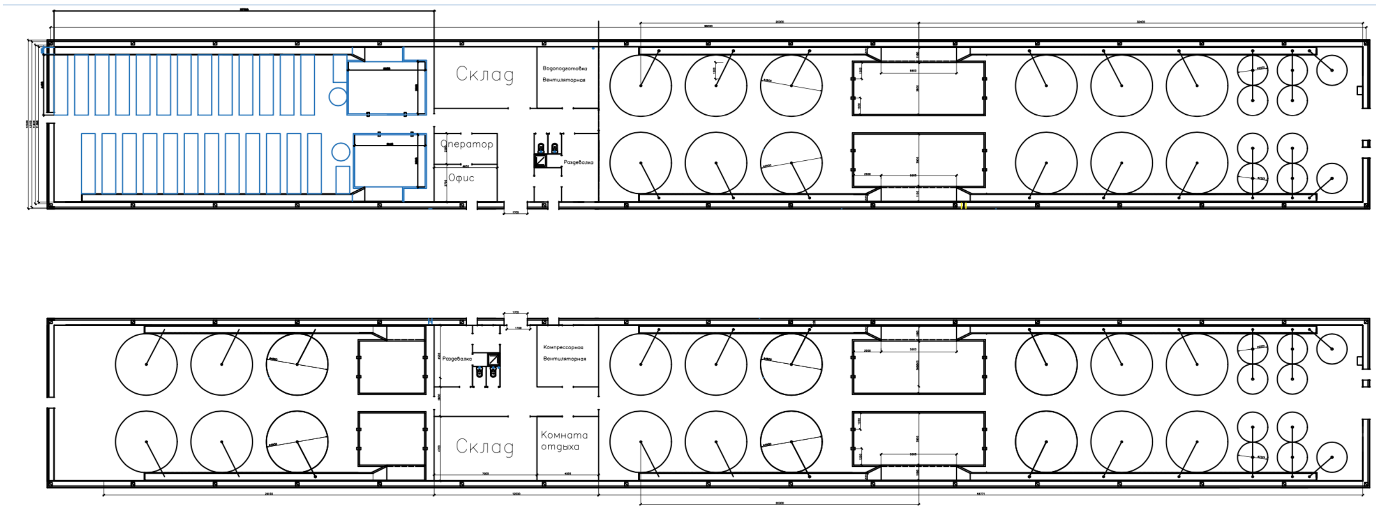
[3] Article 164 of the Tax Code of the Russian Federation

Both hangars are designed so that they can function independently of each other.

Biofilter 1 enclosure

Enclosure 2

Satellite image of a plot of land in Maloye Zamośće village



Internal layout of production buildings

1. **Infrastructure:**

- The production facility is located in the Leningrad region, Gatchina municipal district, Maloye Zamostye village, 8 km from the Kievskoye Highway exit.
- **Hangar 1** (cadastral number: 47:23:0439002:2296), area - **1,272 m²**. Works on pouring of biofilter and concreting of floors were completed.
- **Hangar 2** (cadastral number: 47:23:0439002:2297), area - **1,161 m²**. The hangar is fully constructed; earthworks have been completed, work on pouring biofilters, concreting floors and equipping with equipment is pending.
- **Land plot** (cadastral number: 47:23:0439002:2115) with an area of **20,200 m²**.
- Wells were drilled and laboratory results of water chemistry were obtained.
- Electrification of the site.
- Technical specifications for gasification are available at .

2. **Documentation:**

- The complete project documentation is ready.
- A cultivation programme has been developed.
- Prepared documents for obtaining a loan from Rosselkhozbank .[4]

Project Features

1. **Use of advanced technology:**

- The application of modern methods of cultivation in the UZV provides high production efficiency.
- The use of high quality eggs and specialised feeds ensures rapid growth and healthy fry.
- The experience and qualification of the chief fishmonger of the staff ensures a consistent high quality of products.
- Agreements of intent for future deliveries have already been signed, indicating the high demand for the products on the market.

[4] The loan amount under the 30/70 formula according to the current estimate is RUB 150 million, with a favourable interest rate of 7.5% per annum.

2. **Own contracting organisation - UNR-90 LLC:**

- Has SRO membership and authorisation to carry out construction works.
- Transferred to the new owner together with Kidcity Ltd.
- Ability to influence project estimates.

3. **Compensation from the state:**

- Government reimbursement of up to **40% of capital costs** has been agreed.
- With the current estimate of **220 million rubles**, the compensation will amount to **88 million rubles** and may be received as early as next year.

4. **Preferential lending:**

- Preliminarily approved a preferential lending rate of **7.5%** in Rosselkhozbank.

5. **Completion Timeline:**

- To fully complete the project, **RUB 130-150 million** is required (To complete construction works and purchase equipment under the existing project).
- Project completion date: **6 months of** work.
- The first batch of RPMs could be received as early **as** autumn **2025**.

6. **Chief Fish Breeder: Elena Aleksandrovna Khanenko**
   Elena Aleksandrovna Khanenko is a highly qualified fish breeder with more than 10 years of experience. Over the past ten years, Elena Alexandrovna has held the position of Chief Fish Breeder at Promrybtorg and Trout Paradise.

Willingness to deal

- **Number of actual participants**:
  - Kidcity LLC is a 100% individual.
  - LLC "UNR-90" - 100% physical entity.

- Legal and financial cleanliness

- **Claims of tax authorities:** None.
- **Claims under contractual obligations:** None.
- **Accounts payable:** None.

Terms of Sale

- The initial cost of the project is 200 million roubles
- Sale of 100% of shares of OOO Kidcity and 100% of shares of OOO UNR-90 to a new buyer
- Any form of payment is possible, the preferred form of payment is a letter of credit.

Advantages of the investment

1. **Reducing the cost of production:**

- Having our own hatchery and breeding complex (HBC) allows us to significantly reduce the cost of growing commercial fish, increasing the profitability and competitiveness of the business.

2. **High quality products:**

- The use of SPCRs that by, specialised feed and quality eggs.
- Confirmed by already signed letters of intent for future deliveries.

3. **Ready infrastructure and team:**

- Much of the construction work has already been completed.
- An experienced team of specialists ensures the stability and efficiency of production processes.

4. **Government support:**

- Subsidy opportunities up to **40% of** capital costs.
- Preferential lending at **7.5 per cent** significantly reduces the financial burden.

5. **Project Control:**

- The use of an in-house contractor allows the investor to influence project estimates, minimising risks and improving management efficiency.

6. **Fast time to market:**

- The possibility of receiving the first batch of RPM **as** early as autumn **2025** allows us to quickly start generating revenue and strengthen our market position.

To demonstrate the economic efficiency of the project, we propose to consider an example of CPI calculation, both as a stand-alone enterprise and as part of a fish farming enterprise engaged in the production of commercial trout.
Prices are for the beginning of 2024.

2. basis for calculation: production and sales forecasts	**Separate enterprise**		**As part of the group of companies**
Production volume (taking into account the reduction of fry during rearing by ~33%), incl.	4 020 000		
Further cultivation, pcs	0		1 000 000
Number of sales to the market, pcs	4 020 000		3 020 000
Sales price, RUB/piece	49 ₽		
1. basis for calculation: production costs	**Quantity, pcs/ kg**	**Price rub per 1 unit**	**Total cost, RUB thousand**
Purchase of caviar, pcs	6 000 000	2,4 ₽	14 400 ₽
Feed, kg	120 600	409 ₽	49 325 ₽
Additional costs, per 1 pc		10 ₽	40 200 ₽
Cost of cultivation		25,85 ₽	103 925 ₽
Total: estimate of the effect of realisation	**Separate enterprise**		**As part of the group of companies**
Expenses, thousand roubles	103 925 ₽		
Gross income, RUB thousand	196 980 ₽		147 980 ₽
Operating profit, RUB thousand	93 055 ₽		44 055 ₽
	47 %		30 %

This will allow you to assess the expected financial performance and make sure that the investment is attractive.
It should be noted that this calculation is made for market sales, without taking into account subsidies for fodder purchase, which constitute the main item of expenditure.

It is critical to monitor the origin of the RPM and to know what feeds and eggs were used in its rearing, as this affects the growth rate and survival of the fish.

Strict control of environmental parameters promotes stable growth of fish and, most importantly, reduces the risk of disease. Diseases introduced from open water can spread quickly and cause irreparable damage to the customer's entire farm.

Unlike open ponds, where fish are prone to disease and parasites, ROMs provide a controlled and safe environment for rearing RPMs. This is especially important in the first stages of fry rearing.

1.Base for calculation: production cycle parameters	Parameters of the 2-year production cycle
Initial number of fry, pcs	1 000 000
Final quantity, pcs	707 200
Fry mortality per season, %	29,28 %
Initial weight of fry, kg	0,02
Final weight of fry, kg	1,8
Their total mass, kg	1 272 960
Gutting losses (15%), kg	190 944
Caviar production (10%), kg	108 202

2 Base for calculation: feed costs	Quantity, pcs/kg	Price rub per 1 unit	Total, thousand rubles
Feed, kg	1 940 460	209 ₽	405 556 ₽
Subsidies for fodder (15%), RUB ths.			60 833 ₽

Total: estimate of the effect of realisation	Procurement from third-party suppliers	CPI within the group of companies
Cost of fry rub/piece	49 ₽	26 ₽
Costs for purchase of fry, RUB ths.	49 000 ₽	26 000 ₽
Raw material s/s	393 723 ₽	370 723 ₽
Sale of caviar, RUB thousand	400 000 ₽	
Fish sales, RUB thousand	495 000 ₽	
Gross income, RUB thousand	895 000 ₽	1 042 980 ₽
Operating profit, RUB thousand	501 277 ₽	672 257 ₽
	56 %	64 %

These calculations are preliminary and aggregated, the revenue depends on the marketing strategy and policies of the company.

Conclusion

The Fry City project is aimed at creating the largest hatchery complex in the Leningrad Region for raising rainbow trout fry. It is designed to solve the problem of rainbow trout RPM deficit, which is particularly acute for the North-West region.

Despite the fact that 90 per cent of the country's rainbow trout are produced here, the region lacks its own planting material. This leads to the need to purchase RPM from other regions, which significantly increases the cost of production, and also carries additional risks both during transport and during subsequent rearing, as the fish experience tremendous stress during transport.

The project aims to localise the production of fish planting material, reduce dependence on external supplies and create new jobs.
Together, this will improve food security and strengthen the economic health of the region.

The availability of a ready infrastructure, professional team and in-house contracting organisation guarantees efficient project management and quick market entry.

In addition, the use of CPI in the infrastructure of a company engaged in the production of commercial trout for the subsequent cultivation of commercial fish and caviar will save about 25 million rubles annually, based on the need for fish planting material of 1,000,000 pieces.
This will significantly reduce costs and increase the profitability of current production volumes.

In addition, the opportunity to receive government compensation of 40 per cent of capital costs and significantly reduce operating costs in aquaculture will accelerate the payback period of the project.

On request we are ready to provide all documentation necessary for the evaluation of the transaction.